

Accounting and Accountability

Week 5



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Key concepts

What is Opening balances?

The opening balance of any set of accounts is the state of the accounting equation at the beginning of the period.

The period could be the month, the quarter or the year. So the opening balance is where we start before any transactions are recorded.

Opening balances are stored in an accounting system for its assets, liabilities and equity. The opening balances for one period, are the closing balances from the previous period.

There should be no difference between the closing balance of one financial year and the opening balance of the next financial year. The numbers should be exactly the same.

Key concepts

What is Opening balances?

We know that revenues and expenses are contained WITHIN equity – however, their balances do not forward when we close a financial period at the end, before the new one starts. This is because the revenues and expenses are transactions, rather than a permanent asset, liability or equity.

At the end of each period, we take the net value of revenue less expenses and that amount becomes part of a new account called “Retained earnings”, that forms part of equity.

Quick Check

Which accounts are permanent accounts? A permanent account is where the closing balance for this month becomes the opening balance for next month.

Assets, expenses and dividends.

Assets, liabilities and equity.

Revenues, expenses and dividends.

Liabilities, equity, revenues, expenses and dividends.

Key concepts

Incorporating opening balances into transaction recording

To calculate the closing balance for the reporting period – we add the opening balance to the transactions.

Key concepts

Creating a trial balance

Once we've incorporated the opening balance for each account that we use when recording transactions – accountants create something called a **Trial Balance**.

The trial balance contains the closing balance for every single account used by the company – whether it be a permanent account like an asset, liability or equity, or a temporary holding account like revenues, expenses or dividends. When accountants construct a set of financial statements for a client – the first thing they will ask for is the trial balance.

Account name	Balance
Cash	38,600
Accounts Receivable	7,500
Equipment	9,000
Accounts Payable	5,500
Unearned Revenue	6,000
Share equity	35,500
Dividends	-100
Revenue	5,500
Expenses	-300

Practice question

On 30th June 2024, a business had the following closing balances:

- Cash \$15,000
- Accounts receivable \$4,000
- Equipment \$40,000
- Accounts payable \$12,000
- Share capital \$47,000

During July 2024 the business has the following transactions:

1. Collected cash from customers from the accounts receivable.
2. Provided services on credit to customers for \$7,000.
3. Paid rent expense of \$3,000.
4. Paid half the money owed to suppliers.
5. Purchased some more equipment on credit for \$20,000.

Practice question

Required

- Record these transactions in the accounting equation including the opening balances. On a piece of paper, draw a table with the accounting equation and include a row for the opening balances, then one row for each transaction. Calculate the closing balances.
- Fill in the trial balance below at 31 July 2024, and check the solution.

Assets			=	Liabilities +		Equity		
	Cash	Accounts receivable	Equipment	Accounts payable	Share capital	- Dividends	+ Revenue	- Rent expense
Opening balance								
1.								
2.								
3.								
4.								
5.								
Closing balance								

Account name	Closing balance amount
Cash	
Accounts receivable	
Equipment	
Accounts payable	
Share capital	
Dividends	
Revenue	
Rent expense	

Check that the accounting equation balances at the end.
Total assets = 77,000, Total liabilities = 26,000, Total equity = 51,000

	Assets			=	Liabilities	+	Equity		
	Cash	Accounts receivable	Equipment		Accounts payable		Share capital	-Dividends	+ Revenue - Rent expense
Opening balance	15,000	4,000	40,000		12,000		47,000		
1.	4,000	-4,000							
2.		7,000						7,000	
3.	-3,000								-3,000
4.	-6,000				-6,000				
5.			20,000		20,000				
Closing balance	10,000	7,000	60,000		26,000		47,000	0	7,000 3,000

Trial balance at 31 July 2024	
Account name	Closing balance
Cash	10,000
Accounts receivable	7,000
Equipment	60,000
Accounts payable	26,000
Share capital	47,000
Dividends	0
Revenue	7,000
Rent expense	(3,000)

Key concepts

four financial statements

#	Financial statement name from AASB 101	Common names (if applicable)	Plain English description
1	Statement of profit and loss and other comprehensive income for the period	Profit and loss statement Income statement	A summary of the revenues and expenses of a business over the financial period (usually a year)
2	Statement of financial position	Balance Sheet	A snapshot of the assets, liabilities and equities of the business at a specific date in time.
3	Statement of changes in equity		A summary of the change in the value of equity in the business. Equity is essentially the value of the business after debts are paid.
4	Statement of cash flows		A summary of the cash coming into and going out of the business over the financial period (usually a year).

Key concepts

What is the profit and loss statement?

We create the Profit and Loss Statement first – we can't create any of the others without knowing how much profit or loss the business made.

You may have figured out by now that Revenues minus Expenses will give you Profit.

Alternatively, if Expenses are larger than Revenues, you will have a Loss.

	Scenario 1	Scenario 2
Revenue	\$1,500	\$2,000
Expenses	– \$500	– \$2,500
	+ \$1,000 [PROFIT]	– \$500 [LOSS]

This represents a business' financial performance over a specific period of time. That period of time could be a month, a quarter, 6 months or a full year.

Accrual accounting, the revenue recognition principle and the matching principle all come together in the profit and loss statement.

Key concepts

To create our profit and loss statement, we need our Trial Balance.

Trial balance for Saanvi's Chic Celebrations Pty Ltd for the period 1 July 2021 to 30 June 2022

ACCOUNT NAME	BALANCE
Cash	8,000
Accounts receivable	13,000
Inventory	8,500
Prepaid expenses	2,000
Property, plant and equipment	35,000
Land	80,000
Accounts payable	18,000
Unearned revenue	10,000
Wages payable	3,000
Bank loan	65,000
Share capital	50,000
Dividends	-2,000
Revenue	18,000
Cost of sales	-5,500
Marketing expense	-2,500
Rent expense	-3,500
Wages expense	-2,800
Utilities expense	-1,200

Key concepts

Creating the profit and loss statement

AASB 101 provides guidance to most Australian businesses on how to construct the profit and loss statement. Essentially the structure is as follows:

Company Name

Profit and Loss Statement for the Period Ending 30 June 202X

Revenue

Less Cost of Sales

= GROSS PROFIT

Less expenses:

Administrative expenses

Interest expense

= Net profit before tax (NPBT)

Less income tax

= Net profit after tax (NPAT)

Key concepts

Creating the profit and loss statement

Taking our Trial Balance from above – if we wanted to create a profit and loss statement – it would look like this:

Profit and Loss Statement for Saanvi's Chic Celebrations Pty Ltd

For the period ending 30 June 2022

Revenue	18,000
Less Cost of sales	(5,500)
Gross profit	12,500
Less expenses	
Marketing expense	(2,500)
Rent expense	(3,500)
Wages expense	(2,800)
Utilities expense	(1,200)
Net profit before tax	2,500

Key concepts

What is the Statement of Changes in Equity?

The SoCiE is a reconciliation between the opening balance of Equity and any transactions related to equity, to provide the closing balance for equity. The transactions related to equity include

- Issuing shares to shareholders
- Payments of dividends to shareholders (in the form of cash or more shares)
- The profit (or loss) from the period---Retained Earnings

Trial balance for Saanvi's Chic Celebrations Pty Ltd for the period 1 July 2021 to 30 June 2022

ACCOUNT NAME	BALANCE
Cash	8,000
Accounts receivable	13,000
Inventory	8,500
Prepaid expenses	2,000
Property, plant and equipment	35,000
Land	80,000
Accounts payable	18,000
Unearned revenue	10,000
Wages payable	3,000
Bank loan	65,000
Share capital	50,000
Dividends	-2,000
Revenue	18,000
Cost of sales	-5,500
Marketing expense	-2,500
Rent expense	-3,500
Wages expense	-2,800
Utilities expense	-1,200

Key concepts

Creating a statement of changes in equity

Therefore the SCC Statement of Changes in Equity looks like this (assuming that the business started with no equity). Why prepare the SoCiE as the second financial statement? It is because the closing balance for Equity is required to create the Balance Sheet.

Statement of Changes in Equity for Saanvi's Chic Celebrations Pty Ltd

For the period ending 30 June 2022

Opening balance for Equity at 1 July 2021	0
Retained earnings	0
Add Profits	2,500
Add Issue of share capital/equity	50,000
Less Dividends	(2,000)
Closing balance for Equity at 30 June 2022	50,500

Key concepts

What is the Balance Sheet?

According to our accounting standards – our balance sheet is technically called a **Statement of Financial Position**. Why? This is because it shows the position of the company at a single point in time – a snapshot of the balances of our assets, liabilities and equity (hence the more understandable name of **Balance Sheet!**).

The Profit and Loss Statement shows us the accumulation of transactions over a period of time (such as a year) and we know that those transactions impact our assets, liabilities and equity.

Key concepts

Constructing the balance sheet

Around the world, international accounting standards mean that balances sheets look the same everywhere! This allows us to compare various businesses – a handy tool if you're deciding where to invest. It also allows businesses to compare themselves against each other – who holds more inventory? Who has a large amount of cash?

Sample Company Ltd Balance Sheet as at 30 June 2022	
ASSETS	
Current assets	
Non-current assets	
Total assets	
LIABILITIES	
Current liabilities	
Non-current liabilities	
Total liabilities	
NET ASSETS (Total assets – Total liabilities)	
EQUITY	
Share capital	
Reserves	
Retained earnings (or Accumulated losses)	
Total equity	

Trial balance for Saanvi's Chic Celebrations Pty Ltd for the period 1 July 2021 to 30 June 2022

ACCOUNT NAME	BALANCE
Cash	8,000
Accounts receivable	13,000
Inventory	8,500
Prepaid expenses	2,000
Property, plant and equipment	35,000
Land	80,000
Accounts payable	18,000
Unearned revenue	10,000
Wages payable	3,000
Bank loan	65,000
Share capital	50,000
Dividends	-2,000
Revenue	18,000
Cost of sales	-5,500
Marketing expense	-2,500
Rent expense	-3,500
Wages expense	-2,800
Utilities expense	-1,200

Saanvi's Chic Celebrations Balance Sheet as at 30 June 2022

Assets		Liabilities	
Current assets		Current liabilities	
Cash	8,000	Account payable	18,000
Accounts receivable	13,000	Unearned revenue	10,000
Inventory	8,500	Wages payable	3,000
Prepaid expense	2,000	Non-current liabilities	
Non-Current assets		Bank Loan	65,000
Property plant and equipment	35,000	Total Liabilities	96,000
Non-current assets	80,000	Net Assets	50,000
Total assets	146,500	Equity	
		Share Capital	50,000
		Reverse	
		Retained earnings	500
		Total Equity	50,000

Notice that our share capital \$50,000 is taken from our Statement of Changes in Equity.

Our Retained earnings is the net profit \$2,500 less the dividends paid to shareholders \$2,000.

Key concepts

What is the Statement of Cash Flows?

We know that cash is not always exchanged in transactions. For example, you purchase items from a supplier and you'll pay in 60 days. However real cash is required from your customers to be able to pay your suppliers, employees and any lenders you might have. It is possible that a business may appear to have profits, but actually not have sufficient cash to pay their debts.

In essence, the statement of cash flows shows the cash inflows and outflows in 3 main categories:

1. Cash flow from operations (daily business)
2. Cash flow from investing activities (such as purchasing a new machine for the factory)
3. Cash flow from financing activities (such as inflows of cash from new shareholders or loans, paying dividends or loan repayments)

You take the opening balance of cash (the balance at the beginning of the financial period), then add/subtract the flows from the three main categories and that will give you the closing balance of cash. This closing balance should match the value of Cash that you have recorded in your Balance Sheet.

Key concepts

How to construct a Statement of Cash Flows

In Accounting and Accountability, we won't be covering this as part of the introductory content as it requires some components of more advanced accounting we haven't yet encountered. The follow on textbook, Accounting Business and Society will include this information.

For now – it is sufficient to understand what the Statement of Cash Flows is and the general construction ideas, without being able to actually create one.

Key concepts

Understanding financial reporting requirements in Australia for different types of business

Business type	Liability	Keep accounting records	Submit financial statements to regulator	Have financial statements audited
<i>Sole trader</i> Business owned and operated by a single person	Unlimited liability – any debts of the business are debts of the owner	Yes – for 5 years	No	No
<i>Partnership</i> Business owned by two or more people	Unlimited liability – debt incurred by any one partner is owed by all partners	Yes – for 5 years	No	No
<i>Proprietary company (Pty Ltd)</i> Incorporated entity owned by shareholders	Limited liability – debts of the business belong to the business alone	Yes – for 7 years	No	At the request of shareholders
<i>Public Company (Ltd)</i> Incorporated entity owned by shareholders and shares are traded on a public exchange	Limited liability – debts of the business belong to the business alone	Yes – for 7 years	Yes	Yes

Tutorial activities--Tutorial 5A

Which financial statement user would be interested to know if the business is able to pay its debts and interest expenses in the future?

- a.Customer.
- b.Lender.
- c.Supplier.
- d.I don't know.

Which financial statement would an investor look at to predict future profits?

- a.Balance sheet (Statement of financial position).
- b.Profit and loss statement.
- c.Statement of cash flows.
- d.I don't know.

Which financial statement is prepared first?

- a.Balance sheet (Statement of financial position).
- b.Profit and loss statement.
- c.Statement of cash flows.
- d.I don't know.

Tutorial activities--Tutorial 5A

Calculate the gross profit for this business.

Cost of sales	\$40,000
Income tax expenses	\$16,000
Other revenue	\$1,000
Prepaid expenses	\$4,000
Salary expenses	\$5,000
Sales revenue	\$100,000
Unearned revenue	\$20,000

- a. \$60,000
- b. \$140,000
- c. \$80,000
- d. I don't know.

Tutorial activities--Tutorial 5A

Calculate the net profit after tax for this business.

Cost of sales	\$40,000
Income tax expenses	\$16,000
Other revenue	\$1,000
Prepaid expenses	\$4,000
Salary expenses	\$5,000
Sales revenue	\$100,000
Unearned revenue	\$20,000

- a. \$64,000
- b. \$39,000
- c. \$40,000
- d. I don't know.

Tutorial activities--Tutorial 5A

Calculate total assets for this business.

Cost of sales	\$40,000
Prepaid expenses	\$16,000
Equipment	\$51,000
Accounts receivable	\$4,000
Inventory	\$5,000
Accounts payable	\$100,000
Cash	\$20,000

- a. \$96,000
- b. \$136,000
- c. \$80,000
- d. I don't know.

Tutorial activities--Tutorial 5A

Classify each account, using the following information prepare the financial statements for Marketing Love ♥:

- 1.Profit and loss statement.
- 2.Statement of changes in equity.
- 3.Balance sheet.

Marketing Love		
Trial balance		
For the year ended 30 June 2024		
Account name	Account balance	Group
Unearned revenue	15,000	
Supplies expenses	(4,000)	
Sales revenue	180,000	
Salaries expense	(24,000)	
Retained earnings	20,000	
Rent expenses	(60,000)	
Other revenue	70,000	
Equipment	121,000	
Inventory	17,500	
Interest expense	(5,000)	
Income tax expense	(29,500)	
Customer service expenses	(3,000)	
Cost of sales	(36,000)	
Share capital	50,000	
Cash	40,000	
Bank loan	50,000	
Accounts receivable	32,000	
Accounts payable	7,000	
Dividends	(20,000)	

Tutorial activities--Tutorial 5A

Marketing Love	
Profit and loss statement	
For the year ended 30 June 2024	
Sales Revenue	
Cost of Sales	
= Gross Profit	
Other Revenue	
Less:Operating Expenses	
Rent Expenses	
Supplies Expenses	
Customer Service Expenses	
Salaries Expense	
Interest Expense	
= Profit before tax	
Income tax expense	
= Net Profit	

Tutorial activities--Tutorial 5A

Retained earnings calculation	
Retained earnings, opening balance	
+ Net profit	
- Dividends	
= Retained earnings, closing balance	
Total equity	
Share capital	
+ Retained earnings closing balance	
Total equity	

Tutorial activities--Tutorial 5A

Marketing Love			
Balance sheet			
As at 30 June 2024			
Current Assets		Current Liabilities	
Cash		Accounts Payable	
Accounts Receivable		Unearned Revenue	
Inventory		Current liabilities	
Current Assets		Non-Current Liabilities	
Non-Current Assets		Bank Loan	
Equipment		TOTAL LIABILITIES	
Non-current Assets		NET ASSETS	
TOTAL ASSETS		Equity	
		Share capital	
		Retained Earnings	
		TOTAL EQUITY	

Tutorial activities--Tutorial 5B: Creating financial statements

We will record transactions for a business that has opening balances. We will then use the closing balances to prepare a trial balance and financial statements. (Using Tutorial 5B excel)

This is the trial balance for Marketing Love ❤️ on 30 June 2024	
Cash	40,000
Accounts receivable	32,000
Prepaid expenses	-
Inventory	17,500
Equipment	121,000
Accounts payable	7,000
Unearned revenue	15,000
Wages payable	-
Bank loan	50,000
Share capital	50,000
Retained earnings	88,500

Tutorial activities--Tutorial 5B: Creating financial statements

Transactions during July 2024

1. Provided products to customers who had paid in advance. The cost of the products was \$5,250.
2. Purchased one year of business insurance for \$12,000.
3. Paid wages of \$1,500
4. Paid for advertising which cost \$1,000.
5. Sales to customers on credit of \$20,000. The cost of the inventory was \$9,000
6. Inventory purchased on credit, \$10,000.
7. Paid the monthly loan repayment of \$1,000. The interest expense included was \$417.
8. Paid suppliers the money owed from June.
9. ML owed \$2,000 in wages at the end of the month.
10. A dividend of \$1,000 is paid.

Tutorial problems week 5

None

No tutorial problems for this chapter.